

SECOND QUARTER 2016 FINANCIAL RESULTS

August 3, 2016



zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2015, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

SOLID SECOND QUARTER RESULTS

- Continued positive momentum through first half 2016 based on diverse product portfolio and efficiency improvements
- Operational¹ revenue growth led by Companion Animal products, including APOQUEL®, SIMPARICA™ and new vaccines, as well as positive performance of U.S. cattle products in Livestock
- Delivers solid underlying revenue growth despite continued negative impact from product rationalization and market changes enacted over the past year
- Adjusted net income² grew faster than revenue with ongoing execution of efficiency plans and margin improvement

POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Continue to reap benefits of R&D focus on new products and lifecycle innovation across approximately 300 product lines
- Executing on key product launches and operational efficiency program to deliver long-term growth and value creation
- Increased full year 2016 guidance based on strong first half, continued strength of business model, and confidence in outlook for remainder of the year

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components excluding purchase accounting adjustments, acquisition-related costs and certain significant items

PAUL HERENDEEN

CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2016*	2015*	Change
Revenue	\$1,208	\$1,175	3%
Reported Net (Loss)/Income	224	(37)	NA
Reported Diluted (Loss)/Earnings Per Share	\$0.45	(\$0.07)	NA
Adjusted Net Income ¹	246	216	14%
Adjusted Diluted EPS ¹	\$0.49	\$0.43	14%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ²
Revenue	\$1,208	\$1,175	3%	(3)%	6%
Adjusted Cost of Sales ¹	388	406	(4)%	-	(4)%
<i>as a percent of revenue</i>	32.1%	34.6%	NA	NA	NA
Adjusted SG&A Expenses ¹	331	343	(3)%	(2)%	(1)%
Adjusted R&D Expenses ¹	88	83	6%	(1)%	7%
Effective Tax Rate on Adjusted Income ¹	31.3%	30.2%	NA	NA	NA
Adjusted Net Income ¹	246	216	14%	(8)%	22%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE

	Second Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$594	\$539	10%	-	10%
Livestock	262	256	2%	-	2%
Companion Animal	332	283	17%	-	17%
Cost of Sales	134	127	6%	-	6%
Gross Profit	460	412	12%	-	12%
<i>Gross Margin</i>	77.4%	76.4%	NA	-	NA
Operating Expenses	100	93	8%	-	8%
Other (Income)/Deductions	-	-	-	-	-
Earnings ²	360	319	13%	-	13%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Second Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$602	\$622	(3)%	(5)%	2%
Livestock	411	434	(5)%	(6)%	1%
Companion Animal	191	188	2%	(4)%	6%
Cost of Sales	201	225	(11)%	(7)%	(4)%
Gross Profit	401	397	1%	(4)%	5%
<i>Gross Margin</i>	66.6%	63.8%	NA	NA	NA
Operating Expenses	124	151	(18)%	(5)%	(13)%
Other (Income)/Deductions	1	4	(75)%	(13)%	(62)%
Earnings ²	276	242	14%	(4)%	18%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Second Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Total International	\$602	\$622	(3)%	(5)%	2%
Australia	42	41	2%	(8)%	10%
Brazil	60	67	(10)%	(16)%	6%
Canada	48	49	(2)%	(7)%	5%
China	42	29	45%	(4)%	49%
France	25	27	(7)%	2%	(9)%
Germany	32	31	3%	3%	-
Italy	22	20	10%	5%	5%
Japan	31	26	19%	11%	8%
Mexico	20	18	11%	(9)%	20%
Spain	23	20	15%	4%	11%
United Kingdom	27	37	(27)%	(6)%	(21)%
Other Developed	75	78	(4)%	(3)%	(1)%
Other Emerging	155	179	(13)%	(8)%	(5)%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

REPORTED TO NORMALIZED ORGANIC OPERATIONAL REVENUE GROWTH

UNDERSTANDING THE SECOND QUARTER 2016 UNDERLYING GROWTH

	Reported Growth	Foreign Exchange	Operational Growth ¹	Operational Efficiency Initiative ²	Normalized Operational Growth ¹	M&A: PHARMAQ & Other	Normalized Organic Operational Growth ¹
<u>Total Zoetis</u>	3%	(3)%	6%	(5)%	11%	2%	9%
Livestock	(2)%	(3)%	1%	(8)%	9%	4%	5%
Companion Animal	11%	(2)%	13%	(2)%	15%	-	15%
<u>US</u>	10%	-	10%	(2)%	12%	1%	11%
Livestock	2%	-	2%	(4)%	6%	1%	5%
Companion Animal	17%	-	17%	-	17%	-	17%
<u>International</u>	(3)%	(5)%	2%	(9)%	11%	4%	7%
Livestock	(5)%	(6)%	1%	(10)%	11%	6%	5%
Companion Animal	2%	(4)%	6%	(4)%	10%	-	10%

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

REPORTED TO NORMALIZED ORGANIC OPERATIONAL REVENUE GROWTH

UNDERSTANDING THE FIRST SIX MONTHS 2016 UNDERLYING GROWTH

	Reported Growth	Foreign Exchange	Operational Growth ¹	Operational Efficiency Initiative ²	Six Extra Calendar Days	Normalized Operational Growth ¹	M&A: PHARMAQ & Other	Normalized Organic Operational Growth ¹
<u>Total Zoetis</u>	4%	(5)%	9%	(5)%	3%	11%	3%	8%
Livestock	(3)%	(5)%	2%	(7)%	3%	6%	4%	2%
Companion Animal	17%	(3)%	20%	(2)%	3%	19%	2%	17%
<u>US</u>	11%	-	11%	(2)%	4%	9%	2%	7%
Livestock	(1)%	-	(1)%	(3)%	4%	(2)%	1%	(3)%
Companion Animal	24%	-	24%	-	4%	20%	3%	17%
<u>International</u>	(2)%	(9)%	7%	(8)%	2%	13%	4%	9%
Livestock	(5)%	(10)%	5%	(9)%	2%	12%	6%	6%
Companion Animal	6%	(7)%	13%	(5)%	2%	16%	1%	15%

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

FINANCIAL GUIDANCE

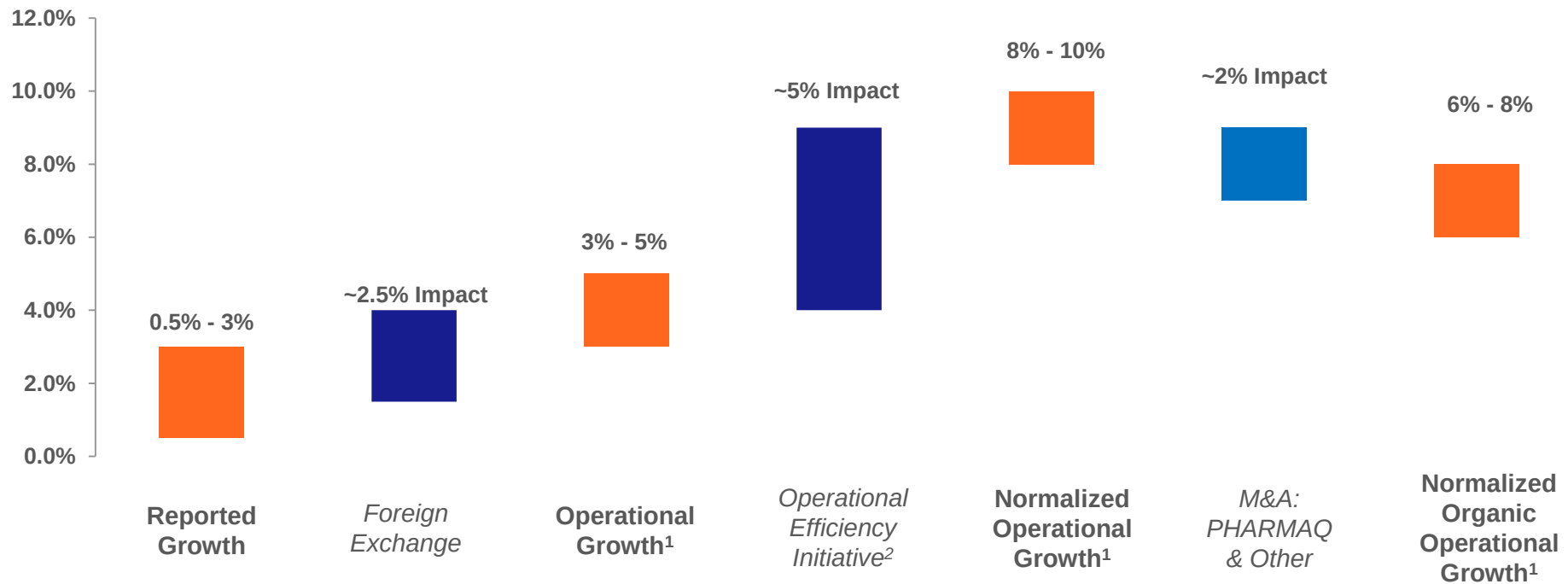
Selected Line Items (millions of dollars, except per share amounts)	2016	2017
Revenue <i>Operational growth</i> ¹	\$4,800 to \$4,900 3% to 5%	\$5,075 to \$5,275 5% to 9%
Adjusted cost of sales as a percentage of revenue ²	Approximately 33%	32% to 33%
Adjusted SG&A expenses ²	\$1,290 to \$1,330	\$1,250 to \$1,340
Adjusted R&D expenses ²	\$360 to \$380	\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$170	Approximately \$150
Adjusted EBIT margin ²	31% to 32%	Approximately 34%
Effective tax rate on adjusted income ²	Approximately 32%	Approximately 30%
Adjusted diluted EPS ²	\$1.86 to \$1.93	\$2.24 to \$2.38
Adjusted net income ² <i>Operational growth</i> ¹	\$930 to \$965 10% to 14%	\$1,120 to 1,190 18% to 26%
Certain significant items ³ and acquisition-related costs	\$40 to \$70	\$50 to \$80
Reported diluted EPS	\$1.52 to \$1.63	\$2.01 to \$2.19

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³Primarily includes certain nonrecurring costs related to restructuring, net gains/losses on sales of assets, and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, and certain legal registration and patent assignment costs

2016 REVENUE GUIDANCE



¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$270 to \$290
Operational efficiency initiative	\$300 to \$320
Supply network strategy	\$50 to \$70
Certain significant items and acquisition-related costs	\$620 to \$680

¹Excludes non-cash charges of \$57 million in 2015 and \$5 million in 2016

²Includes charges of \$93 million in 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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